

Meeting: IAASB
Meeting Location: New York, United States of America
Meeting Date: December 10–14, 2018

Agenda Item 6

ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*

Objective of Agenda Item

The objective of this agenda item is to update the Board on the ISA 315 Task Force's (Task Force) initial analysis of the responses to the ISA 315 (Revised)¹ Exposure Draft for Board reaction and comment.

Task Force Membership

1. The Task Force membership comprises the following members:
 - Fiona Campbell – Chair (supported by Denise Weber)
 - Megan Zietsman (supported by Melissa Bonsall)
 - Marek Grabowski (supported by Josephine Jackson)
 - Susan Jones
 - Kai Morten Hagen

Further information about the project can be found [here](#).

Activities since June 2018 IAASB Meeting

2. A summary of recent Task Force activities and outreach is included in **Appendix A**.
3. During its meeting in June 2018, the Board approved the ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*, Exposure Draft (ED)² for public exposure. The ED was issued in mid-July 2018 for comment by November 2, 2018. As of November 21, 68 responses have been received from stakeholders across a wide range of entities and different jurisdictions, and including 3 Monitoring Group members.³ **Appendix B** provides a list of the respondents by stakeholder group.

¹ ISA 315 (Revised), *Identifying and Assessing the Risks of Material Misstatement*

² <https://www.ifac.org/publications-resources/exposure-draft-isa-315-revised-identifying-and-assessing-risks-material>

³ The Basel Committee on Banking Supervision, the International Association of Insurance Supervisors and the International Forum of Independent Audit Regulators.

4. The Task Force has commenced analyzing the responses. The presentation from the Task Force Chair will provide the Task Force's views on its initial analysis of the responses. A more detailed analysis, together with proposed changes, for each matter will be presented at the March 2019 IAASB meeting.

Material Presented

Agenda Item 6-A Presentation

Action Requested

5. The Task Force's initial analysis of the responses is summarized in the presentation (**Agenda Item 6-A**).
6. The IAASB is asked for initial views and comments on the matters presented in **Agenda Item 6-A**.

Appendix A

Task Force Activities Including Outreach and Coordination with Other IAASB Task Forces and Working Groups

1. The following sets out the recent activities of the Task Force since the June 2018 IAASB meeting, including outreach with others and coordination with other IAASB Task Forces and Working Groups relating to the ISA 315 project.

Task Force Activities since the last IAASB Discussion

2. Since the approval of the ED (June 2018), as well as the separate approval of the conforming and consequential amendments to ISA 540 (Revised)⁴ (July 2018), the ISA 315 Task Force has met once in person and held one teleconference.

Outreach

3. The Task Force Chair presented the ED during a World Bank Virtual Learning Workshop on September 5, 2018.
4. After the publication of the ED, the IAASB hosted two 90 minute webinars led by the Task Force Chair:
 - [August 8, 2018](#): Explaining the key revisions to the auditor's risk assessment procedures, as introduced through the ED.
 - [October 3, 2018](#): Responding to specific questions posed by stakeholders on the ED.
5. During the September IAASB Consultative Advisory Group (CAG) meeting, Ms. Zietsman (Task Force member and deputy IAASB chair) provided an update to Representatives about the finalization of the ED in June 2018.

⁴ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

Appendix B

List of Respondents to ISA 315 (Revised) Exposure Draft

NOTE: MEMBERS OF THE MONITORING GROUP ARE SHOWN IN **BOLD** BELOW.

#	Abbrev.	Respondent	Region
Regulators and Oversight Authorities (8)			
1.	BCBS	Basel Committee on Banking Supervision	GLOBAL
2.	CEAOB	Committee of European Auditing Oversight Bodies	EU
3.	CPAB	Canadian Public Accountability Board	NA
4.	IAASA	Irish Auditing & Accounting Supervisory Authority	EU
5.	IAIS	International Association of Insurance Supervisors	GLOBAL
6.	IFIAR	International Forum of Independent Audit Regulators	GLOBAL
7.	IRBA	Independent Regulatory Board for Auditors	MEA
8.	UKFRC	Financial Reporting Council – UK	EU
National Auditing Standard Setters (11)			
9.	AASB-ICAI	Auditing and Assurance Standards Board of the Institute of Chartered Accountants India	MEA
10.	AUASB	Australian Auditing and Assurance Standards Board	AP
11.	CAASB	Canadian Auditing and Assurance Standards Board	NA
12.	CNCC-CSOEC	Compagnie Nationale des Commissaires aux Comptes and the Conseil Supérieur de l'Ordre des Experts-Comptables	EU
13.	HK-CPA	Hong Kong Institute of CPAs	AP
14.	IDW	Institut der Wirtschaftsprüfer	EU
15.	JICPA	The Japanese Institute of Certified Public Accountants	AP
16.	MAASB	Auditing and Assurance Standards Board of Malaysian Institute of Accountants	AP
17.	NBA	Nederlandse Beroepsorganisatie van Accountants	EU
18.	NBAT	National Board of Accountants Tanzania	MEA
19.	NZAASB	New Zealand Auditing and Assurance Standards Board	AP
Accounting Firms (11)⁵			
20.	ANA	Altaf Noor Ali Chartered Accountants	MEA
21.	BDO*	BDO International Limited	GLOBAL

⁵ Forum of Firms members are indicated with a *. The Forum of Firms is an association of international networks of accounting firms that perform transnational audits.

22.	BT*	Baker Tilly LLP	GLOBAL
23.	CI*	Crowe International	GLOBAL
24.	DTT*	Deloitte	GLOBAL
25.	EY*	Ernst & Young Global Limited	GLOBAL
26.	GTI*	Grant Thornton International Ltd	GLOBAL
27.	KPMG*	KPMG IFRG Limited	GLOBAL
28.	MNP	MNP LLP	NA
29.	PwC*	PWC International	GLOBAL
30.	RSM*	RSM International	GLOBAL
Public Sector Organizations (6)			
31.	AGA	Auditor-General of Alberta	NA
32.	AGC	Auditor-General of Canada	NA
33.	AGM	Auditor-General Montreal	NA
34.	GAO	US Government Accountability Office	NA
35.	SNAO	Swedish National Audit Office	EU
36.	WAO	Wales Audit Office	EU
Member Bodies and Other Professional Organizations (25)			
37.	ACCA-CAANZ	Association of Chartered Certified Accountants - Chartered Accountants Australia and New Zealand	GLOBAL
38.	AE	Accountancy Europe	EU
39.	AICPA	American Institute of Certified Public Accountants	NA
40.	CAQ	Center for Audit Quality	NA
41.	CIPFA	Chartered Institute of Public Finance & Accountancy	EU
42.	CPAA	CPA Australia	AP
43.	FAAPA	Finnish Association of Authorised Public Accountants	EU
44.	FACPCE	Federación Argentina de Consejos Profesionales de Ciencias Económicas (Argentine Federation of Professionals Councils of Economic Sciences)	SA
45.	FSR	FSR Danske Revisorer	EU
46.	IAAA	Interamerican Accounting Association	SA
47.	IBRACON	Instituto dos Auditores Independentes do Brasil	SA
48.	ICAEW	Institute of Chartered Accountants in England and Wales	EU
49.	ICAG	Institute of Chartered Accountants of Ghana	MEA
50.	ICAP	Institute of Chartered Accountants of Pakistan	MEA

51.	ICAS	Institute of Chartered Accountants Scotland	EU
52.	ICAZ	Institute of Chartered Accountants of Zimbabwe	MEA
53.	IIA	Institute of Internal Auditors	Global
54.	IPA	Institute of Public Accountants	AP
55.	ISCA	Institute of Singapore Chartered Accountants	AP
56.	MICPA	Malaysian Institute of Certified Public Accountants	AP
57.	NYSS CPA	New York State Society of CPAs	NA
58.	PAFA	Pan African Association of Accountants	MEA
59.	SAICA	South African Institute of Chartered Accountants	MEA
60.	SMPC	IFAC Small and Medium Practices Committee	GLOBAL
61.	WPK	Wirtschaftsprüferkammer	EU
Individuals and Others (7)			
62.	CAATAS	Chartered Accountants Academy and Training and Advisory Services	MEA
63.	FRI	FocusRoi Inc.	NA
64.	LD	Lynessa Dias	NA
65.	MFC	Miguel Fonseca Cortina	SA
66.	RW	Dr Richard Wittsiepe	EU
67.	SDAH	S Dianne Azoor Hughes	AP
68.	UNSW	UNSW Research Network	AP